

Cummins Inc

APAC Meeting Recap: Introducing Dec 27 PT at \$600

We hosted CMI's Executive Director, Investor Relations and Business Analysis & Planning, Nick Arens, with APAC investors on a virtual call earlier this week.

JPM view: Neutral-rated CMI shares' recent sell-off has been driven by investor skittishness about moderating incremental margins in 2027, backup power exposure to data centers amid overcapacity concerns, and 2027 truck demand uncertainty amid record diesel prices. **These concerns are reasonable in the current political and regulatory environment, but we still expect mid-teens% EPS CAGR over the next couple of years. An improvement in relative valuation multiples, however, will require an acceleration in Power Systems revenue growth and/or Engines incremental margins beyond 2027. We are modeling FY26/27/28 EPS of \$29.64/\$34.04/\$40.06, respectively. We are introducing a Dec 27 PT of \$600 based on ~10x FY28 EV/EBITDA and ~15x FY28 PE, in line with the current valuation.**

Near-term, investors are expecting weak class 8 orders for September, as OEMs are said to gear up for \$10K+ price increase for MY27 class 8 trucks including \$7K NCP and additional price increase to cover inflation. Based on CMI's comments below, 2026 is shaping up to be closer to a replacement cycle year rather than a strong pre-buy year, and we remain comfortable with our forecast of class 8 builds growing 12% next year in NA (after +10% in 2026) and classes 5-7 growing 3% (after +15% in 2026). Based on the NCP details outlined below, **our math suggests Engines incremental margins are likely to be in the mid-teens % range next year (contact us for details of the math).** Finally, investor sentiment on data centers has soured and will likely remain so through the mid-term elections in the U.S., but CMI echoed CAT about demand remaining strong amid all the regulatory headlines. Regarding the recent Generac/Amazon announcement (JPM Analysts Mark Strouse/Doug Anmuth), CMI noted that it has decades-old relationships with all the hyperscalers and that the introduction of nat gas recipcs should position it well to capture prime power demand should back up demand moderate over the medium to long term (although it remains 'extremely strong' at the moment). Below are highlights from the meeting.

- **2026 truck demand looks more replacement-led than pre-buy-led, with 2H strength reflecting catch-up from earlier underproduction.** CMI views 2026 primarily as a replacement-demand year, with Class 8 / Group 2 replacement demand around ~220–240k annualized and medium-duty replacement demand around ~130–135k units. Management raised its 2026 Class 8 / Group 2 market guide to ~245k from ~235k, but framed the move as the market running near the upper end of replacement demand rather than the start of a large traditional pre-buy. Truck production fell materially below replacement levels in 2H25 following tariffs and remained below replacement through 1Q26, before demand improved into 2Q and accelerated into 3Q. That setup should make 2H26 production look strong and somewhat above normal replacement levels, but supply-chain capacity will limit how much demand the industry can fulfill.
- **2027 order visibility should improve soon.** OEMs are beginning to open

Neutral

CMI, CMI US

Price (22 Sep 26):\$526.13

▼ **Price Target (Dec-27):\$600.00**

Prior (Dec-26):\$690.00

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 27E (\$)	33.02	34.04	3.1%
Adj. EBITDA - 26E (\$ mn)	6,862	6,932	1.0%
Adj. EBITDA - 27E (\$ mn)	7,539	7,726	2.5%

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2025A	2026E	2027E
Q1	5.96	6.15A	
Q2	6.43	6.73A	
Q3	5.59	8.37	
Q4	5.81	8.39	
FY	23.71	29.64	34.04

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	59	64	54	47	52
Growth	11	14	42	78	27
Momentum	48	18	26	65	83
Quality	22	19	20	16	12
Low Vol	26	21	17	15	16
ESGQ	17	28	76	53	49

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 8 for analyst certification and important disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	4.8%	-9.0%	-25.4%	26.2%
Rel	-8.6%	-10.2%	-28.9%	10.2%

Company Data

Shares O/S (mn)	139
52-week range (\$)	737.76-400.72
Market cap (\$ mn)	72,869.01
Exchange rate	1.00
Free float (%)	99.7%
3M ADV (mn)	1.03
3M ADV (\$ mn)	640.0
Volatility (90 Day)	38
Index	S&P 500
BBG ANR (Buy Hold Sell)	16 6 1

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	33,670	37,950	42,451	46,901
Adj. EBITDA	5,843	6,932	7,726	8,804
Adj. EBIT	4,483	4,985	5,036	5,629
Adj. net income	3,298	4,117	4,709	5,505
Adj. EPS	23.71	29.64	34.04	40.06
BBG EPS	22.88	29.17	34.35	40.26
Cashflow from operations	3,621	4,285	2,061	8,681
FCFF	2,558	3,042	1,228	7,639
Margins and Growth				
Revenue Growth Y/Y (%)	(1.3%)	12.7%	11.9%	10.5%
EBITDA margin	17.4%	18.3%	18.2%	18.8%
EBITDA Growth Y/Y (%)	8.8%	18.6%	11.5%	14.0%
EBIT margin	13.3%	13.1%	11.9%	12.0%
Net margin	9.8%	10.8%	11.1%	11.7%
Adj. EPS growth	13.5%	25.0%	14.9%	17.7%
Ratios				
Adj. tax rate	22.8%	22.8%	22.5%	22.5%
Interest cover	26.2	34.0	35.9	43.2
Net debt/Equity	0.3	0.2	0.2	NM
Net debt/EBITDA	0.7	0.5	0.5	(0.1)
ROCE	18.6%	18.5%	16.9%	16.8%
ROE	29.2%	31.1%	30.4%	29.5%
Valuation				
FCFF yield	3.5%	4.2%	1.7%	10.6%
Dividend yield	1.5%	1.7%	1.8%	1.9%
EV/Revenue	2.3	2.0	1.8	1.5
EV/EBITDA	13.2	11.0	10.0	8.2
Adj. P/E	22.2	17.8	15.5	13.1

Summary Investment Thesis and Valuation

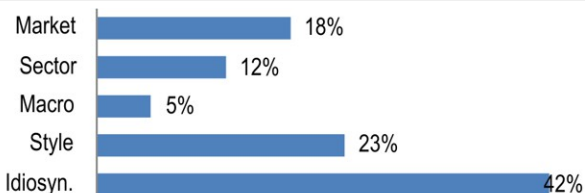
Investment Thesis

We rate CMI Neutral. CMI is positioning its business for a world that includes a transition away from internal combustion engines to alternative powertrains. Hence, in the near term the company is incurring losses in the Accelera business. However, we expect these headwinds to be balanced by strong growth in power generation projects tied to data center demand over the next several years, while we expect the Engine and Components segments' margins to improve in the next couple of years as R&D spending tapers. Overall, we view the risk-reward as balanced at these levels.

Valuation

We are introducing a Dec 27 PT of \$600 based on ~10x FY28 EV/EBITDA and ~15x FY28 PE, in line with the current valuation.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.43	0.43
Sect: Industrials	0.45	0.38
Ind: Capital Goods	0.56	0.44
Macro:		
Crude Oil	-0.12	-0.15
US 10yr Breakeven	0.03	0.09
Economic Surprise	0.08	0.04
Quant Styles:		
Momentum	0.75	0.54
Size	0.71	0.45
DivYld	-0.64	-0.42

2027 order books, with timing varying by OEM, and management expects to get a soft read on demand over the next 1–2 months. That read should come from OEM order books, direct OEM conversations, and importantly, direct fleet conversations around 2027 purchasing plans. CMI itself operates on a much shorter cycle, with firm OEM orders arriving on roughly two-week lead times. As a result, supply-chain and production planning rely more on fleet discussions, OEM expectations, and broader market sensing than on a long-duration firm backlog.

- **CMI framed the EPA transition in three phases, with 2027 likely dominated by existing technology plus NCP rather than a rapid shift to HELM.** In 2H26, CMI remains in the current regulatory environment, selling roughly ‘200mg-equivalent’ engines with no NCP dynamic. In 2027, CMI can continue selling today’s ~200mg-equivalent engines by paying an NCP, currently proposed at ~\$7,000 for the 15L, just over \$4,000 for the 6.7L / 7.2L medium-duty engines, and somewhere proportionally between those levels for the 10L. Management described the NCP as a dollar-for-dollar pass-through, which raises ASP and revenue but does not add EBITDA dollars, leaving like-for-like EBITDA dollars per unit equivalent to 2026 while mechanically diluting reported EBITDA margin percentage. Once the new 35mg-equivalent / HELM products launch, the NCP disappears and CMI receives higher ASP from higher engine and aftertreatment content, emissions compliance, fuel-economy improvements, longer service intervals, and other product-value enhancements. For the 15L, CMI continues to frame the truck-level powertrain price increase around ~\$10k, with roughly two-thirds engine and one-third aftertreatment, with a modestly lower increase for the 10L and then 7.2L. However, the vast majority of 2027 volume should still be existing technology plus NCP, including effectively 100% of medium duty, because customers are likely to favor the lower-priced existing technology while available and new product availability only builds gradually into late 2027.
- **Medium duty moves to 2028 because CMI needs to validate across a uniquely broad application set.** Management emphasized CMI’s exceptionally strong position in medium duty, as it carries the widest range of applications, the largest number of chassis, the broadest OEM integrations, and highly varied operating and duty cycles. Management used the example of a delivery truck idling in New York City summer heat with A/C running versus a truck starting in northern Minnesota in January to show how different the emissions challenge can be across use cases. CMI needs to engineer and validate the product across that range of chassis, temperatures, and duty cycles. Management therefore views the January 2028 launch as the right product and industry decision, rather than a sign that CMI is behind.
- **Engine margins should look optically diluted through the transition, but CMI does not expect like-for-like unit economics to step down.** In 2027, the NCP pass-through should raise revenue without adding EBITDA dollars, which mechanically lowers reported EBITDA margin percentage and makes 2026-to-2027 incremental margins look diluted. Management does not expect EBITDA per unit to fall off on a like-for-like basis. New HELM products should carry higher ASP and higher content, though initial margin percentage will likely be pressured by the first 6–8 quarters of elevated warranty accruals and launch costs typical of a new platform. CMI characterized new-product price/cost as at least neutral, with a target of favorable. Management also clarified that the 25%+ figure refers to incremental margin, while the 20%+ target refers to total company EBITDA margin by 2030.
- **R&D stays elevated longer because the launch cadence has moved out, but the eventual roll-off remains a meaningful margin bridge.** R&D has moved materially higher versus 2022 as CMI funds a ‘once-in-a-generation’ platform investment. Under the original EPA timetable, products would have launched in January 2027 and R&D could have begun rolling off in 2H27. With launches now staggered and the portfolio not fully operationalized until early 2028, management does not expect the R&D roll-off

until 2H28. Until then, engineers will use the additional time to improve launch quality, reduce cost, and refine the product. Once the products are launched, CMI sees roughly \$100–150MM of annual R&D run-rate reduction opportunity, primarily in Engines and to a lesser degree Components. This reduction is part of the pathway toward 20%+ enterprise EBITDA margins by 2030.

- **CMI's data-center position remains capacity-constrained rather than demand- or competition-constrained.** Management said CMI has had relationships with essentially all major hyperscalers for decades and remains very confident in a competitive position it views as difficult to replicate. The bigger problem today is not competition, but the inability to bring enough capacity online to meet customer demand, with CMI already taking 95L orders into 2H28. Demand is tight enough that customers unable to secure a 95L are asking whether they can instead take a 78L, 60L, or 50L product. Management viewed recent competitor wins partly as a reflection of how constrained both CMI and CAT are, and it framed one recent competitor structure, effectively equity in exchange for market entry, as more reminiscent of zero-emissions market deals from 5–6 years ago than a fundamental change in competitive positioning. Headlines around AI slowdowns, data-center moratoriums and geographic restrictions have not hit orders, with management saying account-team checks consistently show no deterioration in demand. CMI's view is that restrictions tend to move projects elsewhere rather than eliminate them, with some states pushing back while areas such as Louisiana actively try to attract data centers.
- **The high-horsepower capacity expansion carries attractive economics and should remain relatively protected even if diesel standby eventually peaks.** CMI had ~26GW of high-horsepower engine capacity in 2023, defined broadly as ~30L through 95L engines converted from horsepower to power output, and added 9GW over the next ~2.5–3 years for only ~\$200MM to exit last year at ~35GW. At the most recent Analyst Day, CMI announced another 20GW for approximately \$450MM, taking total capacity to 55GW by 2030. Incremental capacity begins coming online in 2027, with a roughly linear ramp through 2030 and an outsized step-up in 2028. Management expects \$B's of incremental revenue through 2030 from the \$450MM investment, with a very quick payback because much of the capacity goes inside the four walls of existing facilities and carries limited incremental fixed-cost burden. CMI acknowledges that Power Systems' MTHSD% pricing should moderate as more industry capacity enters the market, but still expects favorable price/cost through 2030 and has sized the incremental 20GW around direct customer conversations. If diesel standby demand eventually peaks, CMI sees protection from strong visibility into the early 2030s, capacity that can shift toward gas prime / BTM, common architecture and supply base between a 95L diesel standby product and 130L natural-gas genset, and low fixed-cost downside if demand later slows.
- **CMI sees data centers as potentially creating three separate opportunities: diesel standby, gas prime / BTM, and BESS.** Diesel standby remains the established core market, with the prevailing architecture still roughly 1:1 backup and a 100MW data center typically installing ~100MW of diesel generation to keep chips online and cooling operational if base-load power disappears. The second opportunity is prime or BTM power, where utility constraints or political and social pressures around grid connection could expand CMI's addressable market rather than destroy data-center demand; in that case, the same 100MW site could require another 100MW of BTM generation. CMI's 130L natural-gas prime-power genset would compete against gas turbines, other high-speed gas reciprocating engines, and fuel cells, and management believes high-speed gas reciprocating engines are credible based on customer conversations. The 130L timeline calls for key development-maturity milestones and a launch / pilot customer in 2H27, limited pilot production, supply-chain buildout, and site commissioning in 2H28, and order-book opening / commercial ramp in 2029–30. BESS creates a third opportunity by helping utilities manage stable load profiles, charging when data-center load is below the agreed

grid draw and discharging when the load rises above it. However, CMI views BESS as complementary to diesel rather than a replacement today, because batteries eventually deplete and customers generally still maintain ~1:1 diesel redundancy even when BESS is installed.

- **The current data-center revenue target remains mostly diesel standby, leaving gas prime, BESS, and aftermarket as potential upside layers.** CMI expects approximately \$5B of data-center revenue this year across Power Systems and Distribution, and the Analyst Day framework calls for \$9B+ by 2030. Importantly, both the current \$5B and the \$9B+ target are largely diesel-standby revenue, with minimal BESS contribution and very little gas-prime contribution embedded in those figures. That leaves BESS and gas prime as potential incremental opportunities above the existing \$9B+ framework, although gas prime does create some capacity trade-off with diesel because both can use the same engine and manufacturing capacity. Gas prime also carries a much more attractive lifecycle opportunity than diesel standby, because diesel backup runs infrequently while prime-power equipment runs extensively. Management expects a gas-prime unit to undergo roughly 3–4 major overhauls over its life, creating highly profitable aftermarket revenue in 2035, 2040, and beyond from products sold during this investment cycle. Power Systems margins should remain strong but not inflect sharply near term, with 2Q26 margins just above 24%, 2H26 expected to be around a similar level as higher revenue is offset by 130L gas-platform R&D, and multi-year incremental margins modeled around ~25–30%.
- **China remains a meaningful data-center opportunity, with CMI benefiting from local production, relationships, and a strong market position.** CMI has not disclosed a China-specific percentage of data-center revenue, but some incremental capacity will come from China. The company has operated there for decades and says it holds the #1 position in Chinese data-center standby power. Management pointed to local production, a strong local cost position, longstanding relationships with major Chinese hyperscalers including Alibaba and ByteDance, and local manufacturing / JV ties that allow CMI to be viewed in many respects as a local company. China data-center growth has recently been >80%, albeit from a smaller base. On an absolute dollar-growth basis, U.S. and China data-center growth in recent quarters has been broadly similar, with China simply growing much faster in percentage terms because of its smaller starting point. Management did not quantify China margins precisely, saying profitability varies by customer and engine, but characterized China as ‘a very nice portion’ of the portfolio.
- **Capital allocation remains organic-investment first, with buybacks still meaningful and M&A likely small and strategic.** CMI continues to prioritize organic investments, particularly high-return projects such as high-horsepower capacity, the 130L gas engine, and other growth initiatives. Management still expects to generate substantial excess cash flow after funding those opportunities. The Analyst Day framework calls for roughly 50% of operating cash flow to be returned to shareholders, with the dividend first and share repurchases after that, implying meaningful buyback activity over the next several years. CMI remains open to M&A, but does not expect or outsized transactions. The focus is on smaller strategic deals that add technology, supplement the portfolio, or shore up the supply chain, such as the radiator company acquired to help scale Power Systems capacity or the small hybrid company acquired to add technology in mining. M&A should therefore remain a relatively small piece of the overall capital allocation story.

Investment Thesis, Valuation and Risks

Cummins Inc (Neutral; Price Target: \$600.00)

Investment Thesis

We rate CMI Neutral. CMI is positioning its business for a world that includes a transition away from internal combustion engines to alternative powertrains. Hence, in the near term the company is incurring losses in the Accelerera business. However, we expect these headwinds to be balanced by strong growth in power generation projects tied to data center demand over the next several years, while we expect the Engine and Components segments' margins to improve in the next couple of years as R&D spending tapers. Overall, we view the risk-reward as balanced at these levels.

Valuation

We are introducing a Dec 27 PT of \$600 based on ~10x FY28 EV/EBITDA and ~15x FY28 PE, in line with the current valuation.

CMI Valuation Matrix	2026E	2027E	2028E
Adj. EPS	\$29.64	\$34.04	\$40.06
PE	17.6x	15.4x	13.0x
Adj. EBITDA (\$MM)	6,932	7,726	8,804
EV/EBITDA	11.2x	10.0x	8.8x
Price Target		\$600	
PE	20.2x	17.6x	15.0x
PEG	0.8x	1.2x	0.8x
EV/EBITDA	12.8x	11.5x	10.1x
Upside/(Downside) to Target Price		15%	
	2026E	2027E	2028E
Free Cash Flow (\$MM)	2,885	1,061	7,481
Free Cash Flow / Share	\$20.77	\$7.67	\$54.45
Current Free Cash Flow Yield	4.0%	1.5%	10.4%
Discount / Premium to Avg SPX FCF Yield (since 2008)	-0.9%	-3.5%	5.5%
FY1 FCF Yield at Target Price		9.1%	
CMI's Avg FCF Yield since 2008		5.6%	

Source: Company reports, Bloomberg Finance L.P., J.P. Morgan estimates

Risks to Rating and Price Target

Upside risks. The transition to alternative powertrains may be slower than expected due to policy changes under the new administration, which could favorably impact CMI's earnings and valuation multiple. Should the Chinese economy reaccelerate faster than anticipated, CMI's JV income would provide upside to our estimates. Lastly, demand for power generation products and services could be higher than we are currently modeling.

Downside risks. If EPA's NOx regulation coming into effect in 2027 is nixed, it could lead to no pre-buys in 2025/26, which could drive downward revisions. Any abrupt slowdown in data center growth could render our estimates too high as well.

Cummins Inc: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26E	4Q26E	
Revenue	34,102	33,670	37,950	42,451	46,901	Revenue	8,398A	9,457A	9,998	10,097	
COGS	(25,536)	(25,154)	(28,017)	(31,414)	(34,707)	COGS	(6,155)A	(6,992)A	(7,398)	(7,472)	
Gross profit	-	-	-	-	-	Gross profit	-	-	-	-	
SG&A	(2,161)	(2,028)	(2,630)	(3,092)	(3,502)	SG&A	(565)A	(613)A	(721)	(731)	
Adj. EBITDA	5,369	5,843	6,932	7,726	8,804	Adj. EBITDA	1,489A	1,653A	1,892	1,898	
D&A	(1,053)	(1,097)	(1,117)	(1,154)	(1,188)	D&A	(280)A	(280)A	(279)	(279)	
Adj. EBIT	4,126	4,483	4,985	5,036	5,629	Adj. EBIT	1,148A	1,279A	1,272	1,286	
Net Interest	(283)	(223)	(204)	(215)	(204)	Net Interest	(44)A	(47)A	(56)	(56)	
Adj. PBT	3,946	4,421	5,500	6,240	7,290	Adj. PBT	1,133A	1,293A	1,534	1,540	
Tax	(917)	(1,009)	(1,255)	(1,404)	(1,640)	Tax	(254)A	(325)A	(338)	(339)	
Minority Interest	(122)	(114)	(128)	(127)	(145)	Minority Interest	(26)A	(36)A	(31)	(35)	
Adj. Net Income	2,907	3,298	4,117	4,709	5,505	Adj. Net Income	853A	932A	1,165	1,166	
Reported EPS	28.37	20.44	28.21	34.04	40.06	Reported EPS	4.71A	6.73A	8.37	8.39	
Adj. EPS	20.90	23.71	29.64	34.04	40.06	Adj. EPS	6.15A	6.73A	8.37	8.39	
DPS	7.00	7.64	8.82	9.47	9.94	DPS	2.00A	2.20A	2.31	2.31	
Payout ratio	24.7%	37.4%	31.3%	27.8%	24.8%	Payout ratio	42.4%A	32.7%A	27.6%	27.5%	
Shares outstanding	139	139	139	138	137	Shares outstanding	139A	139A	139	139	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	1,671	2,845	3,605	2,703	7,611	Gross margin	-	-	-	-	-
Accounts receivable	5,181	5,818	7,036	8,602	8,573	EBITDA margin	15.7%	17.4%	18.3%	18.2%	18.8%
Inventories	5,742	5,822	6,836	7,888	7,517	EBIT margin	12.1%	13.3%	13.1%	11.9%	12.0%
Other current assets	2,158	2,440	2,376	2,355	3,206	Net profit margin	8.5%	9.8%	10.8%	11.1%	11.7%
Current assets	14,752	16,925	19,853	21,547	26,907	ROE	30.4%	29.2%	31.1%	30.4%	29.5%
PP&E	6,356	6,958	7,418	7,264	7,276	ROA	9.1%	10.1%	11.5%	12.0%	12.8%
LT investments	-	-	-	-	-	ROCE	19.3%	18.6%	18.5%	16.9%	16.8%
Other non current assets	10,432	10,109	10,480	11,653	11,347	SG&A/Sales	6.3%	6.0%	6.9%	7.3%	7.5%
Total assets	31,540	33,992	37,751	40,465	45,530	Net debt/equity	0.4	0.3	0.2	0.2	NM
Short term borrowings	2,275	760	958	958	958	P/E (x)	25.2	22.2	17.8	15.5	13.1
Payables	3,951	3,800	4,973	4,987	6,114	P/BV (x)	7.1	5.9	5.2	4.3	3.5
Other short term liabilities	5,008	5,050	5,404	5,232	6,093	EV/EBITDA (x)	14.5	13.2	11.0	10.0	8.2
Current liabilities	11,234	9,610	11,335	11,177	13,164	Dividend Yield	1.3%	1.5%	1.7%	1.8%	1.9%
Long-term debt	4,784	6,792	6,737	6,679	6,129	Sales/Assets (x)	1.1	1.0	1.1	1.1	1.1
Other long term liabilities	4,214	4,182	4,314	4,314	4,314	Interest cover (x)	19.0	26.2	34.0	35.9	43.2
Total liabilities	20,232	20,584	22,386	22,170	23,607	Operating leverage	43.71	(6.83)	0.88	0.09	1.12
Shareholders' equity	10,271	12,349	14,090	16,893	20,375	Revenue y/y Growth	0.1%	(1.3%)	12.7%	11.9%	10.5%
Minority interests	1,037	1,059	1,125	1,252	1,397	EBITDA y/y Growth	3.3%	8.8%	18.6%	11.5%	14.0%
Total liabilities & equity	31,540	33,992	37,601	40,315	45,380	Tax rate	23.2%	22.8%	22.8%	22.5%	22.5%
BVPS	74.32	89.36	101.91	122.75	149.05	Adj. Net Income y/y Growth	3.5%	13.5%	24.8%	14.4%	16.9%
y/y Growth	19.0%	20.2%	14.0%	20.5%	21.4%	EPS y/y Growth	6.1%	13.5%	25.0%	14.9%	17.7%
Net debt/(cash)	4,795	3,943	3,345	4,189	(1,269)	DPS y/y Growth	7.7%	9.1%	15.4%	7.4%	5.0%
Cash flow from operating activities	1,487	3,621	4,285	2,061	8,681						
o/w Depreciation & amortization	1,065	1,105	1,120	1,154	1,188						
o/w Changes in working capital	(2,165)	(861)	(668)	(2,675)	1,617						
Cash flow from investing activities	(1,782)	(1,731)	(1,391)	(1,000)	(1,200)						
o/w Capital expenditure	(1,208)	(1,235)	(1,400)	(1,000)	(1,200)						
as % of sales	3.5%	3.7%	3.7%	2.4%	2.6%						
Cash flow from financing activities	(173)	(772)	(2,130)	(1,964)	(2,573)						
o/w Dividends paid	(969)	(1,055)	(1,191)	(1,306)	(1,363)						
o/w Net debt issued/(repaid)	915	454	67	(58)	(550)						
Net change in cash	(508)	1,174	760	(902)	4,909						
Adj. Free cash flow to firm	496	2,558	3,042	1,228	7,639						
y/y Growth	(83.3%)	415.5%	18.9%	(59.6%)	522.0%						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Cummins Inc (CMI, CMI US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Jul 06, 1994. All share prices are as of market close on the previous business day.

Date	Rating	Price (\$)	Price Target (\$)
16-Oct-23	UW	227.72	255
18-Jan-24	UW	233.08	245
25-Mar-24	UW	290.34	275
01-Aug-24	UW	291.80	285
11-Oct-24	UW	332.85	340
05-Nov-24	UW	325.62	355
09-Dec-24	N	379.60	420
18-Mar-25	N	326.15	375
11-Apr-25	N	281.75	308
05-May-25	N	299.85	320
14-Jul-25	N	338.82	375
05-Aug-25	N	361.59	400
14-Oct-25	N	409.00	460
07-Nov-25	N	462.80	485
14-Jan-26	N	567.44	580
04-Mar-26	N	560.09	600
06-May-26	N	674.88	725
04-Aug-26	N	648.85	690

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Completed 22 Sep 2026 10:29 PM EDT

Disseminated 23 Sep 2026 12:15 AM EDT